

CHAPTER 9. CONCLUSIONS AS TO THE CONDITIONS DEFINED IN THE ACT

258. Under our terms of reference we are required to report whether conditions to which the Act applies in fact prevail as respects both the supply in and the export from the United Kingdom of the goods listed in the reference. These conditions prevail as respects supply in the United Kingdom if there are restrictive arrangements between persons supplying at least one-third of all the goods covered by the reference; and as respects exports if restrictive arrangements are operative as respects at least one-third of all such goods produced in the United Kingdom. Although, as explained below, the statistics we have do not enable us to give the exact proportions relevant to Sections 3 and 5 of the Act, they show that the conditions defined in the Act apply both as regards supply in and export from the United Kingdom. In both cases the relevant proportion is clearly much more than one-third.

Production Figures

259. Appendix 22, Table 4, shows that the members of federated associations produced, in 1953, 76 per cent. by weight of the total production in the United Kingdom of all the goods covered by our reference. The corresponding figure for 1950 was 79 per cent. These percentages do not include :—

- (a) the production of goods in the reference by a concern which does not belong to the appropriate association for those goods (though the concern's production of other goods, for which it is a member of the appropriate association, is of course included).
- (b) the production of a concern which, although neither a member nor an associate member of an association, has an arrangement with an association regarding the price at which its production is sold either in the United Kingdom or overseas.

If either (a) or (b) above were included the percentages would be higher.

Supply in the United Kingdom

260. There are no figures readily available for the total supply in the United Kingdom of the goods covered by the reference. In 1953 about 8 per cent. (and in 1950 about 12 per cent.) of the total production was exported and a substantial, but unknown, proportion of the total production is retained by the manufacturers for further fabrication and supplied in a form, such as electric cables, which is not covered by the reference. Both members and non-members of the federated associations retain part of the production for further fabrication. The members of the federated associations sold, in 1953, under the control of the associations and in accordance with the various agreements to which they are parties 47 per cent. of the total *production* (see Appendix 22, Table 5). Their proportion of the total *supply* cannot therefore be less than 47 per cent. and would be as much as 76 per cent. if their proportion of total supply were the same as their proportion of total production. In 1950, 54 per cent. of the total production was sold under the control of the associations. Imports in both years were negligible. The agreements on prices and terms of sale described in Chapters 3, 4 and 5 mean that the members of the federated associations so conduct their affairs as to restrict competition in connection with the supply of goods covered by our reference. We therefore conclude that the conditions to which the Act applies, as defined in Section 3 of the Act, prevail in relation to supply in the United Kingdom.

Exports from the United Kingdom

261. We have described in Chapter 7 (and paragraph 85, Chapter 3) the arrangements made by the members of the federated associations and of the two Export Groups for fixing the prices of goods covered by our reference exported to overseas markets. These arrangements clearly restrict competition in exports. The Lausanne Agreement, described in Chapter 7, does not apply to exactly the same goods as are listed in our reference. The difference which is relevant to the determination of whether or not the conditions to which the Act applies prevail is that certain classes of goods, notably zinc strip and locomotive plate, are within our reference but are not covered by the Lausanne Agreement. For these items, however, the members of the federated associations charge common or agreed export prices under the agreements made by the relevant federated association. There are certain specifications of the goods covered by our reference which are subject neither to the provisions of the various federated associations nor to the Lausanne Agreement and may be exported without restrictions of any kind. The production of such specifications is relatively very small and would not substantially reduce the proportions of 76 per cent. and 79 per cent. It was suggested by the Federation that it is only on goods which are actually exported that the Lausanne Agreement and other agreements are "operative". As a matter of construction of Section 5 (2) (b) of the Act we are of the opinion that the agreements are operative as respects all goods produced in the United Kingdom which, if they were exported, would be subject to these agreements.

262. We consider therefore that the agreements or arrangements are operative as respects at least one-third of all the goods of the descriptions in question which are produced in the United Kingdom. We therefore conclude that the conditions to which the Act applies, as defined in Section 5 of the Act, prevail as regards exports from the United Kingdom generally.